

December 9, 2024

Maureen Lupo
512 west, 42nd st.
New York, NY 10036

Addressing Grave Violations and Redefining Expectations at 510W 42nd Street

Dear Maureen,

As the sole member of Urban Resort LLC, the holder of the master lease at 510W 42nd Street, I would like to formally address recent issues that have arisen concerning your role and conduct on the property, as well as your contributions to the business. First and foremost, I want to acknowledge and appreciate the financial, technical, and personal contributions you have made to support our growth. Your contribution for plumbing, electrical repair, and physical labor has indeed provided value, and these efforts have not gone unnoticed.

I must address a grave breach of trust and responsibility that occurred on Monday, December 9, following an event you organized. This event, which is the latest in a string of other serious events which have occurred during events that you have been responsible for, led to a shooting and other illegal activities taking place on the property. Such incidents are not only deeply troubling but also represent a fundamental violation of the trust and confidence we must be able to place in you as an event organizer associated with this space. This behavior is entirely unacceptable and in direct conflict with our operational and ethical standards.

Urban Resort LLC has extended a fair and generous offer reflective of your contributions: a 20% equity stake in a specially designated LLC (510w 42nd Entertainment LLC). Your previous financial investments, labor, and technical contributions over the past 90 days have been valued at 10% equity, with an additional 10% available upon a \$300,000 contribution. This structure allows you to earn a meaningful stake in the LLC while being aligned with other partners; Paul Brown and Mike will each be asked to contribute \$600,000 for 20% stakes.

Furthermore, this entire 20% equity stake - both the 10% converted from your contributions and the additional 10% upon your financial contribution - is contingent upon your acceptance and abidance of the attached trespass waiver. This waiver requires that your physical presence on the property is restricted for a duration of one year, except with the explicit permission of other members of the special purpose LLC.

Refusal to sign this waiver will result in forfeiture of both the equity stake and the \$75,000 tax-free salary we've offered (\$120,000 before taxes). This condition is non-negotiable.

Additionally, it's essential to clarify the boundaries of your role within this partnership. You will serve as a promoter, not a manager or owner, and your responsibilities are limited to promotional efforts. In this capacity, you will report directly to Paul Brown, who will manage operations on behalf of ownership. This separation of roles is essential to avoid conflicts of interest. When engaged as a promoter, you work solely under Paul Brown's direction, without influence on operational management or ownership decisions.

Please understand that moving forward, you will be expected to respect the defined roles, and boundaries of all parties involved. Further breaches will have additional consequences and impact your standing within 510w 42nd Entertainment LLC.

Please note that this condition, including the signing and return of the trespass waiver, must be fulfilled by Wednesday, December 11 at noon.

Should you choose not to comply, you will lose both the equity stake and the salary. From that date forward, we will implement additional security measures, instructing our personnel to deny you access to the property. Furthermore, local police authorities will be informed of unauthorized attempts to enter the premises or other illegal activities of which we become aware.

Thank you for your attention to these matters, and we look forward to a constructive collaboration within the agreed framework.

Sincerely,
Ian Reisner
Urban Resort LLC and 510w 42nd Entertainment LLC